

Business Travel and Expense Reimbursement Policy

Northwind Systems GmbH

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1. Purpose and Scope

This policy defines which costs incurred while travelling on company business are borne by Northwind Systems, the authorisation required before those costs are incurred, and the process by which they are substantiated and settled.

It applies to all employees, fixed-term staff and long-term contractors of every Northwind entity, and to any journey undertaken at the company's request that takes the traveller away from their normal place of work.

It does not apply to the daily journey between home and the normal place of work, which is a private cost in every case, nor to relocation, which is governed separately by the relocation framework agreed at the point of hire.

2. Definitions

Approved business travel

A journey authorised in advance under section 3. A journey that was never authorised is not business travel for the purposes of this policy, whatever its purpose turned out to be.

Traveller

The employee undertaking the journey. The traveller is personally accountable for the substantiation of every cost claimed, including costs settled directly on a corporate card.

Duty of care

The company's obligation to know where its travelling employees are and to be able to reach them. This is why itineraries are booked through the travel desk rather than privately, and it is not negotiable on cost grounds.

3. Authorisation

All business travel requires written authorisation from the traveller's line manager before any

booking is made or any cost is committed.

Authorisation is granted in the travel request tool and records the purpose, the destination, the dates and an estimated total. Approval of the estimate is approval of the trip, not of every individual cost within it; the rules in sections 4 to 7 still apply.

The following additionally require department head approval:

- Any journey with an estimated total above EUR 3000.
- Any journey outside Europe.
- Any journey of more than five consecutive nights.
- Any travel by more than three employees to the same event.

Retrospective authorisation is granted only where the travel was genuinely unforeseeable, and requires a written explanation approved at department head level.

4. Air and Rail

Journeys are booked through the company travel desk. Private bookings are reimbursed only where the travel desk was unreachable and the traveller has recorded that fact in the travel request.

Class of travel

- Rail: standard class for journeys under three hours; first class is permitted above three hours where the fare difference is under EUR 40.
- Air: economy class on all flights with a scheduled duration under six hours.
- Air: premium economy is permitted on flights over six hours, or where the traveller is expected to work on the day of arrival.
- Business class requires department head approval in advance and is not granted on cost grounds alone.

Booking horizon

Book at least fourteen days in advance where the date is known. Bookings made inside seven days require the line manager to confirm the reason in the travel request, because the fare difference is typically substantial.

Changes and cancellations

Flexible fares are permitted where the itinerary is genuinely uncertain, and the travel desk will advise on the difference. Change and cancellation fees on a trip cancelled by the company are borne by the company. Fees arising from a change made for the traveller's personal convenience are not reimbursed.

Rail preference

Where a rail journey between two European cities takes under five hours door to door, rail is the expected mode even when a flight is cheaper.

5. Accommodation

Hotels are booked through the travel desk against the negotiated rates. Where no negotiated rate exists, the following nightly ceilings apply, inclusive of local taxes:

- Munich, Hamburg, Frankfurt, Zurich, London, Paris: EUR 220
- Other western European cities: EUR 180
- Central and eastern Europe: EUR 140
- Outside Europe: as advised by the travel desk per destination

Room service, minibar, laundry for stays under four nights, hotel entertainment and spa charges are personal costs and must be settled by the traveller on departure.

Where a traveller stays privately with family or friends instead of using a hotel, a flat allowance of EUR 25 per night may be claimed with no receipt required.

6. Meals and Subsistence

Meals during approved business travel are reimbursed on a per diem basis. The per diem is claimed per full day away and is not reduced by receipts; individual meal receipts are neither required nor accepted where a per diem is claimed.

- Germany, Austria, Poland, Czech Republic: EUR 45 per day
- Rest of western Europe: EUR 55 per day
- Nordics, Switzerland, United Kingdom, Ireland: EUR 65 per day
- Outside Europe: EUR 70 per day

Departure and return days are claimed at 50 percent of the daily rate.

The per diem is reduced where a meal is provided and already paid for by another party:

- Breakfast included in the hotel rate: reduce by 20 percent.
- Lunch provided at a conference or by a host: reduce by 40 percent.
- Dinner provided at a conference or by a host: reduce by 40 percent.

Alcohol is not reimbursable outside approved hospitality, and never against a per diem.

Hospitality during travel

Hosting a customer, candidate or supplier is not subsistence and is not covered by the per diem. It is claimed separately, requires an itemised receipt, and requires the names and employers of everyone present to be recorded against the claim. The hospitality ceiling is EUR 90 per person including service.

7. Local Transport at the Destination

Northwind reimburses reasonable local transport necessarily incurred during approved business travel. The expected order of preference is public transport, then shared or scheduled services, then individually hired vehicles.

Public transport tickets, travel passes and airport express services are reimbursed in full against a receipt.

7.1 Journeys between the arrival point and the place of stay or work

Transfers between an airport, port or railway station and the hotel or the office at the destination are an eligible cost on approved business travel, in both directions. This covers licensed cabs, ride-hailing services, airport shuttle buses and scheduled transfer coaches.

The same applies to the transfer between the traveller's home and their departure airport or station at the start and end of the trip, where public transport is impractical because of the departure time or the amount of luggage carried.

Where a colleague or family member drives the traveller instead, a mileage allowance of EUR 0.30 per kilometre may be claimed for the outward and return legs.

7.2 Pre-approval threshold

A single journey with a fare above EUR 80 requires the line manager's approval in advance. This threshold applies to the individual journey, not to the daily or trip total, and it applies regardless of how the journey is paid for -- charging it to a corporate card does not remove the requirement.

Where a journey above the threshold could not reasonably be foreseen, for example a cancelled last connection or a departure outside public transport hours, it may be approved retrospectively with a written explanation attached to the claim.

7.3 Substantiation and deadline

Every local transport claim requires a receipt showing the date, the route and the fare. An application screenshot of a completed ride is acceptable where the provider issues no separate document.

Receipts for local transport are submitted with the rest of the trip's costs and are subject to the same deadline as all other travel expenditure: they must reach the expense tool within thirty days of the traveller's return, as set out in section 8.

7.4 Hire cars

A hire car requires line manager approval in advance and is approved only where public transport and individual hired journeys would together be more expensive or impractical. Compact category is standard. Fuel is reimbursed against receipts; prepaid fuel options are not. Optional insurance excess reduction is reimbursable; upgrades, additional drivers for personal reasons and satellite navigation charges are not.

7.5 Private vehicle

Use of the traveller's own vehicle for business travel is reimbursed at EUR 0.30 per kilometre against a record of the route and distance. This rate covers fuel, wear and insurance in full; no separate fuel claim is possible. Parking and tolls incurred on the business journey are reimbursed against receipts.

8. Receipts and Submission

8.1 Deadline

All expenditure relating to a trip must be submitted in the expense tool within thirty days of the date the traveller returns from that trip.

The deadline is measured from the return date, not from the date of each individual transaction, so that a single trip is claimed as a single report.

Claims submitted after thirty days require the line manager to approve the delay in writing. Claims submitted after ninety days are not reimbursed, other than in exceptional circumstances approved by the Finance director.

Corporate card transactions carry their own additional obligation: unsubstantiated card transactions are recovered through payroll after sixty days, as set out in the corporate credit card rules.

8.2 What counts as a receipt

An itemised document from the merchant showing the date, the merchant, the individual items and the total. A card statement line, a booking confirmation without a price, or a bank application screenshot is not a receipt.

Receipts are required for every claimed cost with the exception of per diems and the private accommodation allowance in section 5.

Where a receipt has genuinely been lost, a missing receipt declaration may be submitted. It states what was bought, from whom, when and why. More than three declarations in a rolling twelve months are reviewed by Finance Operations with the line manager.

8.3 Approval and payment

Reports are approved by the line manager. Lines above the delegated limit for the traveller's grade route automatically to the department head as a second approver.

Approved out-of-pocket amounts are paid in the next weekly payment run, with a cut-off of Monday 12:00 CET. Costs settled on a corporate card are settled directly with the card issuer and are not paid to the traveller.

9. Costs That Are Not Reimbursed

- The daily journey between home and the normal place of work.
- Fines, penalties and traffic charges of any kind, however incurred.
- Travel insurance purchased individually; the company holds a group policy.
- Loyalty scheme fees, lounge memberships and paid priority boarding.
- Costs for accompanying family members.
- Personal entertainment, including in-flight entertainment purchases.
- Upgrades of any class beyond those authorised in section 4.

10. Related Documents

- Corporate credit card rules
- Expense tool frequently asked questions
- Learning and development policy
- Code of conduct